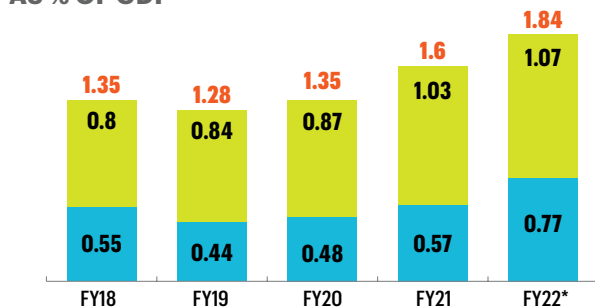


A GRADUAL RISE BUT NOT ENOUGH

● Public spending on health has risen marginally but is far short of the target of 2.5% of GDP

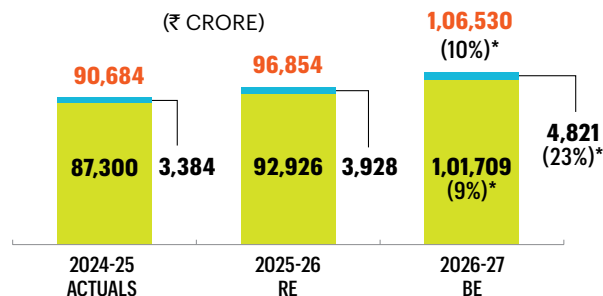
**NATIONAL HEALTH EXPENDITURE
AS % OF GDP**



■ CENTRE ■ STATES ■ TOTAL

NOTE *LATEST AVAILABLE DATA

**EXPENDITURE OF UNION OF MINISTRY
OF HEALTH AND FAMILY WELFARE**



NOTE % CHANGE FROM RE TO BE IN ()

■ HEALTH AND FAMILY WELFARE ■ HEALTH RESEARCH

■ TOTAL SOURCE PRS LEGISLATIVE RESEARCH

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ing. The government opened the health sector to private participation during liberalisation. But it has led to an increase in out-of-pocket expenditure,” he says, adding that this will continue to until the government improves public health expenditure and infrastructure.

The NSS survey estimated that the average out-of-pocket medical expenditure per hospitalisation case (excluding childbirth) was ₹34,064 in 2025. However, as per the National Health Accounts (NHA) estimates, the out-of-pocket expenditure as percentage of Total Health Expenditure declined to 39.4% in 2021-22 from 62.6% in 2014-15.

For millions of families in India, a severe illness can push them into poverty. While access to health insurance has increased, the coverage is often not sufficient and does not pay for outpatient departments and several medical tests.

Experts say governments typically compress expenditure in case of a revenue shortfall and find it easier to cut allocation for social sector schemes and capital expenditure. Health allocation tends to bear a major brunt.

Rahul Ahluwalia, Founder and Director at Foundation for Economic Development, highlights another challenge—underutilisation of funds. India spends about 1.9% of GDP on health through government channels, and along with private spending, the total comes to roughly 3.8% of GDP. “Many people argue for increas-

ing public spending but hitting 2.5% or 3% would not fix things,” he says.

This is because government spending in India is very inefficient. “The real question for Indian health policy isn’t how to increase spending but how to increase effectiveness by improving accountability of current expenditure,” he says.



**RAHUL
AHLUWALIA**
FOUNDER AND
DIRECTOR,
FOUNDATION
FOR ECONOMIC
DEVELOPMENT

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